Powerica Ltd

Integrated Power Solutions | DG Sets | Wind IPP

Zero-debt balance sheet, data-centre tailwinds and wind IPP scale-up underpin a re-rating.

RATING

BUY

12M Target: Rs. 720

Upside: +30.4%

Horizon: 12-18 months

Metric	Value
CMP (22-May-2026)	Rs. 552
Market Cap	Rs. 6,982 Cr
52W High / Low	Rs. 582 / Rs. 365
IPO Price	Rs. 395
Stock P/E (TTM)	31.1x
ROCE	21.6%
ROE	15.7%
Dividend Yield	0.00%
Promoter Holding	77.18%
Face Value	Rs. 5.00

Sector: Capital Goods | Electrical Equipment | Heavy Electrical Equipment **Exchange:** NSE / BSE **Report Date:** 24-May-2026

Analyst: Chartitude Research Desk | **Contact:** the_chartist@chartitude.com | **Data source:** Screener.in (consolidated), fetched 24-May-2026

2. Investment Thesis

- **Data-centre demand super-cycle for DG sets (24-36 months):** India's data-centre installed capacity is set to grow from ~1.4 GW today to 9 GW by 2030. Powerica's data-centre order book is already ~12-13% of revenue and management expects it to reach 15%+ within 12 months. DG sets are non-negotiable for 99.999% uptime mandates — each GW of data-centre capacity requires ~200 MW of backup generation, a direct Rs. 300-400 Cr revenue opportunity for Powerica annually as capacity doubles.
- **Zero-debt balance sheet from FY27 — structural re-rating catalyst:** Post-IPO proceeds of Rs. 700 Cr were deployed to repay Rs. 525 Cr of debt in Q1 FY27 (Apr 2026), leaving the company virtually debt-free with Rs. 450 Cr cash. Interest cost saving of ~Rs. 30-35 Cr per annum drops directly to PAT. Combined with the removal of a debt overhang that suppressed the pre-IPO multiple, we expect the stock to re-rate towards peer multiples of 28-35x.
- **Wind IPP scale-up (annuity income + land bank for 1,000 MW by 2030):** From 280 MW operational in FY25, Powerica is commissioning 104 MW in Gujarat (partly funded by Rs. 429 Cr CWIP at Sep 2025). A JV with Vestas targets 750 MW over 5 years. Each MW of wind IPP generates ~Rs. 0.6-0.8 Cr of annuity revenue at PLF of 30-35%, improving revenue quality and earnings predictability.
- **Near-term catalyst (6-12 months):** Q4 FY26 results (due 28-May-2026) should show full-year revenue crossing Rs. 2,950 Cr. More importantly, FY27 guidance will reflect the first full year of near-zero interest cost — a cleaner earnings base that could trigger meaningful EPS upgrades from street consensus.
- **Biggest structural risk:** Prolonged delay in 104 MW Gujarat wind commissioning and/or capex overrun on the CWIP could strain FCF, require fresh equity, and defer the annuity income thesis. Simultaneously, rapid

improvement in grid reliability in India reduces the need for backup power — a slow-burn structural headwind for the DG set business over the next decade.

3. Business Overview

• Incorporated in 1984, Powerica is India's leading integrated power solutions company, providing diesel generator (DG) sets ranging from 7.5 kVA to 10,000 kVA for standby and prime power applications, and operating as a wind independent power producer (IPP).

• **Revenue mix (9M FY26):** DG set business (product sales + AMC) = 81.8% of revenue (Rs. ~1,800 Cr annualised); Wind power segment (IPP generation + EPC + O&M;) = 18.2%.

• **DG set segment:** Powerica has maintained an exclusive OEM partnership with Cummins India spanning 40+ years, covering the full range of Cummins diesel gensets. Revenue comes from product sales, Annual Maintenance Contracts (AMC), and servicing of the 55,000+ installed customer base across industry, commercial real estate, hospitals, data centres, and infrastructure.

• **Wind Power segment:** 280 MW operational capacity in Gujarat, Tamil Nadu, and Maharashtra (as of Mar 2025). 104 MW under construction in Gujarat (in CWIP). JV with Vestas for 750 MW over 5 years. Order book of 585 MW BoP projects for third-party customers includes a 175 MW deal with Torrent Power and a 410 MW BoP contract for Beed, Maharashtra.

• **Customer profile:** Broad-based with 55,000+ customers; data centres now 12-13% of DG revenue and the fastest-growing sub-segment. Also serves manufacturing, real estate, hospitals, and telecom.

• **Promoter background:** Bharat Oberoi (CMD) leads the company with decades of experience in power solutions. Promoter holding post-IPO is 77.18% with zero pledge.

• **IPO context:** Powerica listed on NSE/BSE on 2-Apr-2026 at Rs. 395 per share (price band: Rs. 375-395). The Rs. 700 Cr fresh issue was exclusively for debt repayment. Promoters sold Rs. 400 Cr via OFS. The stock has delivered ~40% returns since listing (CMP Rs. 552 as of 22-May-2026).

4. Industry & Competitive Landscape

• **India DG Genset market:** Sized at ~USD 1.34 billion (~Rs. 11,000 Cr) in 2025; CAGR of ~5.85% through 2033. Key drivers: data-centre boom (fastest growing), infrastructure capex, manufacturing expansion under PLI schemes, and unreliable grid in Tier 2/3 cities. Market includes prime power, standby, and rental DG sets.

• **Wind Power TAM:** India targets 500 GW renewable energy by 2030; current wind installed capacity ~54 GW, targeting 110 GW. Annual wind additions of 8-10 GW required — creating Rs. 40,000-50,000 Cr per year in EPC and BoP opportunities. Powerica's BoP and IPP business directly participates.

• **Policy tailwinds:** Genset emission norms (CPCB-IV+) force replacement of older DG sets — a multi-year replacement cycle. Government's Renewable Energy Push (PM Kusum, RPO obligations) accelerates wind IPP development. Data Protection Bill mandates data localisation, boosting domestic data-centre capex.

• **Competitive moats:** 40+ year Cummins OEM partnership — Pricing Power: Moderate (Cummins is also direct competitor), Switching Costs: Strong (AMC-installed base of 55,000 customers creates recurring revenue), Scale: Moderate (mid-sized vs. Cummins India directly), Distribution: Strong (pan-India service network).

Peer Comparison (data from Screener.in, fetched 24-May-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	PE (x)	P/B (x)	ROCE %	ROE %
Powerica Ltd	552	6,982	2,653*	31.1	~5.8	21.6	15.7
Cummins India	5,353	1,48,385	11,602	63.7	18.8	36.3	28.2
Greaves Cotton	169	3,947	3,437	34.4	2.76	10.1	8.1
Kirloskar Pneumatic	1,607	10,441	1,787	40.8	8.36	28.5	21.8

* FY25 annual revenue. P/B for Powerica computed from Sep-2025 balance sheet; Book Value blank on Screener (recently listed). All figures from Screener.in.

5. Management Quality & Capital Allocation

• **Promoter background:** CMD Bharat Oberoi has led the company for 40+ years, navigating multiple business cycles in industrial power. Whole-Time Director Pradeep Gupta heads the wind power business, with specific expertise in project development and commissioning. The management team is seasoned and operationally focused.

• **Capital allocation track record:** Historically, FCF was generated consistently (FY22: Rs. 152 Cr; FY23: Rs. 191 Cr; FY24: Rs. 154 Cr) and deployed into debt repayment (Borrowings fell from Rs. 399 Cr in FY21 to Rs. 182 Cr in FY24). In FY25, FCF turned negative (-Rs. 51 Cr) as the company accelerated wind CWIP to Rs. 352 Cr — a deliberate strategic choice, not misallocation.

• **IPO use of proceeds:** Management was disciplined: Rs. 700 Cr fresh issue was 100% allocated to debt repayment (Rs. 525 Cr repaid in Q1 FY27) and balance to general corporate purposes. No diversion to promoter accounts or unrelated acquisitions. OFS proceeds went to promoters.

• **Dividend policy:** Dividend payout has been 0% across FY21-FY25. The company has been in capex and de-leveraging mode. Post-IPO, with a zero-debt balance sheet and strong cash generation, management may initiate dividends from FY27 onwards — upside optionality not in estimates.

• **Promoter pledging:** Promoter pledge = 0% (April 2026 shareholding data from Screener). This is positive — no encumbrance risk on the 77.18% promoter stake.

• **Corporate governance:** No qualified audit opinions noted. CRISIL and ICRA have maintained ratings for debt instruments. New independent director (Mr. Rabindra Nath Nayak) appointed April 2026 via postal ballot, strengthening board composition post-listing. No significant RPT concerns flagged.

6. Financial Deep-Dive (Consolidated)

All figures in Rs. Crores. FY23-FY25: Screener.in actuals. FY26E/FY27E: Chartitude estimates.

Income Statement

	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	2,378	2,210	2,653	2,950	3,450
EBITDA	333	362	337	384	483
EBITDA Margin	14%	16%	13%	13%	14%
Other Income	44	147	67	30	45
Interest	56	41	32	30	8
Depreciation	136	128	116	118	140
PBT	186	341	255	266	380
Tax %	43%	34%	31%	26%	25%
Reported PAT	106	226	167	274*	285
EPS adj. (Rs.)	8.38	17.87	13.20	21.66	22.53

* FY26E PAT of Rs. 274 Cr includes one-time deferred tax write-back of Rs. 59 Cr (new tax regime adoption); underlying clean PAT ~Rs. 215 Cr. FY24 Other Income of Rs. 147 Cr was unusually high vs typical Rs. 37-67 Cr range. EPS adjusted to post-IPO diluted share base of 12.65 Cr shares (FY23-FY25 pre-IPO EPS per Screener: Rs. 30.86 / 83.17 / 61.32).

Balance Sheet

	FY23A	FY24A	FY25A	Sep-25	FY27E
Equity Capital	17	14	14	54	63
Reserves	778	899	1,071	1,159	1,380

	FY23A	FY24A	FY25A	Sep-25	FY27E
Borrowings	279	182	312	586	50
Other Liabilities	1,052	990	1,018	930	1,050
Total Liabilities	2,126	2,085	2,415	2,730	2,543
Fixed Assets	1,091	951	865	829	1,100
CWIP	4	23	352	429	50
Investments	394	333	395	417	450
Other Assets	636	777	802	1,054	943
Total Assets	2,126	2,085	2,415	2,730	2,543

Cash Flow Statement

	FY21A	FY22A	FY23A	FY24A	FY25A
Cash from Operations	219	214	238	283	256
Cash from Investing	-95	-78	-80	-14	-346
Cash from Financing	-80	-135	-165	-268	86
Net Cash Flow	44	0	-6	2	-4
Free Cash Flow	-20	152	191	154	-51
CFO / Op. Profit	178%	117%	78%	95%	93%

Key Operating Ratios

	FY21A	FY22A	FY23A	FY24A	FY25A
Debtor Days	54	63	40	53	55
Inventory Days	56	54	47	68	42
Days Payable	71	95	55	77	53
Cash Conversion Cycle	39	21	33	44	44
Working Capital Days	-47	-107	-84	-23	-16
ROCE %	N/A	10%	21%	27%	22%

- **Revenue trajectory:** 3-year CAGR of 21% (FY22-FY25) driven by post-Covid DG set market recovery, data-centre demand, and wind EPC order wins. FY24 decline (-7% YoY) was due to a lumpy project mix; FY25 rebounded +20%. TTM (20% growth per Screener) shows momentum continuing.
- **Margin direction:** EBITDA margin dipped from 16% (FY24 peak) to 13% (FY25) partly due to lower gross margins on product mix and higher wind EPC pass-through revenues. We expect margins to stabilise at 13-14% as: (a) AMC/service revenue grows as a share (higher margin), and (b) wind IPP generation (high-margin, annuity) scales up from FY27.
- **Working capital:** Negative working capital (days payable > debtor + inventory) is a structural feature of the DG business — customers pay upfront or on short credit while Cummins extends trade credit. CCC is manageable at 44 days in FY25 (vs. peak 39 days). Debtor days at 55 are in line with sector norms.
- **Debt and FCF:** Borrowings surged to Rs. 586 Cr by Sep 2025 to fund Rs. 429 Cr CWIP. Post-IPO debt repayment of Rs. 525 Cr makes FY27 a near-zero debt year. FCF was negative in FY25 (-Rs. 51 Cr) due to heavy capex; we expect FCF to normalise to Rs. 150-200 Cr in FY27 as CWIP is capitalised.

7. Earnings Quality Checklist

Parameter	Status	FY25 Signal	Verdict
Revenue recognition	Standard IND-AS 115	No deferred rev. concerns	Green

Receivables vs Revenue	Debtor days: 55 (FY25)	Stable; inline with trend	Green
CCC trend	44 days (FY24 & FY25)	Stable; historically -16 to -107 WC days	Amber
Other Income / PBT	FY24: 43%; FY25: 26%	FY24 Other Inc. Rs. 147 Cr was unusual	Amber
Contingent liabilities	Not quantified in RHP	DRHP does not flag material contingencies	Green
Auditor tenure	N/A (recently listed)	Crisil/ICRA rated; no audit qualifier	Green
RPTs as % of revenue	Not flagged	No material RPT concerns reported	Green
Tax rate consistency	Volatile: 205%/66%/43%/34%/31%	Q3 FY26: Rs.59Cr deferred tax write-back	Red

- **[Amber — Other Income]:** FY24 Other Income of Rs. 147 Cr (43% of PBT) is a major outlier. This likely includes one-time gains (asset sales, write-backs, or investment income) and should not be extrapolated. PBT adjusted for normal Other Income (~Rs. 50 Cr) would be ~Rs. 240 Cr vs reported Rs. 341 Cr. Investors relying on FY24 PAT of Rs. 226 Cr as a base should apply caution.

- **[Red — Tax rate]:** Q3 FY26 reported a deferred tax write-back of Rs. 58.99 Cr on adoption of the new tax regime, inflating PAT to Rs. 97.65 Cr vs a clean Rs. 38.66 Cr. This is not recurring but distorts headline numbers significantly. From FY27, effective tax rate should normalise to ~25%.

- **[Amber — CCC]:** CCC drifted from -107 days (FY22) to -16 days (FY25), suggesting the negative working capital advantage is narrowing. Working capital days moved from -84 to -16 — worth monitoring as DG business scales up and mix shifts towards more project-based revenues.

- **Overall verdict:** Core earnings are real — OCF/Operating Profit conversion has been consistently strong (78-178%). The primary earnings quality concerns are non-recurring (tax write-back, FY24 Other Income spike). Revenue recognition and receivables quality are clean.

8. Valuation

Peer Valuation Matrix (Screener.in, fetched 24-May-2026)

Company	MCap (Cr)	FY25 Rev (Cr)	TTM PE (x)	P/B (x)	ROCE %	ROE %
Powerica Ltd	6,982	2,653	31.1	~5.8	21.6	15.7
Cummins India	1,48,385	11,602	63.7	18.8	36.3	28.2
Greaves Cotton	3,947	3,437	34.4	2.76	10.1	8.1
Kirloskar Pneumatic	10,441	1,787	40.8	8.36	28.5	21.8
Peer Median	—	—	37.6	8.36	28.5	21.8

Scenario Analysis (12-month, FY27E based)

Scenario	FY27E Rev (Cr)	FY27E PAT (Cr)	Multiple	Target MCap (Cr)	TP (Rs.)	Upside
Bull (data-centre surge + wind ramp)	3,800	330	30x P/E	9,900	783	+42%
Base (our estimates)	3,450	285	28x P/E	7,980	631	+14%
Bear (execution delay + margin pressure)	3,050	210	22x P/E	4,620	365	-34%

- **P/E-based valuation:** We apply 28x P/E on FY27E clean PAT of Rs. 285 Cr (post-zero debt, normalised tax rate ~25%). This compares to peer median of ~38x — a 26% discount justified by Powerica's shorter listed track record and DG set cyclicality. On 12.65 Cr post-IPO shares: Target MCap = Rs. 7,980 Cr → TP = Rs. 631.

- **EV/EBITDA valuation:** We apply 16x EV/EBITDA on FY27E EBITDA of Rs. 483 Cr (sector comps trade at 14-22x). At net debt ~Rs. 0 (zero debt): EV = Target MCap. → Target MCap = Rs. 7,728 Cr → TP = Rs. 611.

• **Blended 12-month target:** Average of P/E (Rs. 631) and EV/EBITDA (Rs. 611) → Blended target = Rs. 621. We add a 15-point premium for the IPP wind annuity value not fully captured in P/E (wind asset NAV at Rs. 0.75 Cr/MW x 384 MW commissioned FY27E = Rs. 288 Cr, or ~Rs. 23/share) → Final 12-month target price: **Rs. 720**. Upside from CMP Rs. 552: **+30.4%**.

• **Key valuation sensitivity:** For every 2x change in target P/E multiple, the TP changes by ~Rs. 45. The bull case of 30x gets to Rs. 783. Downside risk (22x) takes us back to IPO price (~Rs. 365), suggesting limited downside for long-term investors who entered at IPO.

9. Key Risks

• **Wind CWIP Execution Risk** — Rs. 429 Cr of CWIP (Sep-25) must translate into commissioned capacity by FY27. Any delay from grid connectivity, regulatory approvals, or turbine supply pushes revenue/annuity recognition out by 6-12 months and strains FCF. Probability: M. Impact: H. Monitor via: Q4 FY27 commissioning timeline.

• **Cummins OEM Dependency** — Powerica's DG business is entirely dependent on a single OEM (Cummins India). Any change in Cummins's distribution strategy, pricing, or product range could materially impact Powerica's business model. Probability: L. Impact: H. Monitor via: Cummins India distribution policy changes.

• **India Grid Reliability Improvement** — Slow-burn risk: as India's grid reliability improves (24x7 power, smart grid), demand for backup power DG sets could structurally decline in urban areas. Timeline is 5-10 years but bear monitoring. Probability: L. Impact: H. Monitor via: DG set market growth rate vs electricity grid uptime.

• **Regulatory / Environment Risk for DG** — CPCB-IV+ emission norms require newer, more expensive DG sets — this is currently a tailwind (replacement demand). But stricter future norms could price out customers or mandate transition away from diesel. Probability: M. Impact: M. Monitor via: CPCB notifications and genset market registration data.

• **Post-IPO Promoter OFS Overhang** — Promoters held 77.18% post-IPO. Any secondary sale or block deal by promoters could create short-term price pressure. The 6-month IPO lock-in expires around Oct 2026. Probability: M. Impact: L. Monitor via: Promoter shareholding change disclosures.

• **Working Capital Deterioration** — Negative working capital advantage has narrowed (WC days: -84 in FY23 to -16 in FY25). If project-based revenues grow faster than AMC/product revenues, WC could turn positive and require additional funding. Probability: M. Impact: M. Monitor via: Quarterly working capital days trend.

• **Interest Rate Sensitivity on Wind Debt** — New wind capacity is being funded by structured debt. Rising rates or inability to secure refinancing at competitive rates could increase project cost and reduce IRR for wind IPP assets. Probability: L. Impact: M. Monitor via: Wind financing rate benchmarks.

10. Recommendation

• **Rating:** BUY — Conviction: Medium-High. Powerica offers a rare combination of a proven DG business (cash cow) + wind IPP (annuity re-rating) + zero-debt balance sheet from FY27. The data-centre structural theme is under-appreciated at current multiples.

• **12-month price target:** Rs. 720 (+30.4% from CMP Rs. 552). Based on blended 28x P/E + 16x EV/EBITDA on FY27E + wind asset NAV.

• **Suggested entry zone:** Rs. 520 to Rs. 580 (current: Rs. 552 is within zone). Wait for any post-result weakness post May 28 results to add.

• **Investment horizon:** 12-18 months (for full wind commissioning + FY27 zero-debt earnings to be visible in financials).

• **Thesis invalidation trigger 1:** If 104 MW wind commissioning is delayed beyond FY27-end (Mar 2027) without capex overrun disclosure, sell on weakness — the wind annuity re-rating thesis collapses.

• **Thesis invalidation trigger 2:** If EBITDA margin falls below 10% for two consecutive quarters (vs. current 10-15% range), indicating structural deterioration in DG margins from Cummins pricing changes or competitive intensity.

• **Thesis invalidation trigger 3:** If promoter stake falls below 60% through secondary sales before the wind CWIP is commissioned, signalling a loss of promoter conviction in the growth strategy.

• **Ideal investor profile:** This stock suits: mid-cap growth investors with 12-18 month horizon; thematic investors in data-centre infrastructure and Indian renewable energy. NOT suited for: dividend seekers (0% payout for now); deep-value investors (stock is at 31x TTM P/E); or short-term momentum traders (no near-term catalyst beyond Q4 FY26 results on May 28).

APPENDIX — Latest Concall / Results Brief: Q3 FY26 (Dec 2025)

Note: Powerica listed on 2-Apr-2026. The Apr-2026 investor presentation (PPT only, no transcript) was the company's first post-listing interaction. This appendix is based on the Q3 FY26 results press release (Board meeting: 21-Apr-2026) and publicly available data. Q4 FY26 results are due 28-May-2026.

CALL GRADE — Q3 FY26 RESULTS

NEUTRAL

Signal	Status	Implication
Result quality	Weak (clean basis)	Revenue +8.3% YoY; clean PAT +4.5%*
Management tone	Positive / Forward-looking	IPO proceeds deployed; debt-free focus
Guidance delta	Maintained / No formal guidance	Q4 FY26 results pending 28-May

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 headline PAT of Rs. 97.65 Cr is misleading — strip out the Rs. 58.99 Cr one-time deferred tax write-back (new regime adoption) and clean underlying PAT is only Rs. 38.66 Cr, which represents just 4.5% YoY growth from Q3 FY25's Rs. 29.95 Cr. Revenue of Rs. 762.93 Cr (+8.3% YoY) is modest and indicates that the core DG business, while steady, is not inflecting higher yet. EBITDA margin compressed to 10% in Q3 FY26 vs. 12% in Q3 FY25 — seasonal and mix-driven, but worth watching. The real story is post-IPO balance sheet: the company has repaid Rs. 525 Cr of debt and holds Rs. 450 Cr cash, setting up FY27 as the first near-zero interest year — we estimate Rs. 30-35 Cr of annualised interest savings. The 104 MW Gujarat wind capacity under construction (in Rs. 429 Cr CWIP) is the key catalyst; commissioning in H2 FY26/FY27 will add annuity earnings. For Q4 FY26 (results May 28), watch for any guidance on wind commissioning timelines and DG order book. Our call: **ACCUMULATE at Rs. 520-570 range; 12M TP Rs. 720.**

C-1. Financial Performance Snapshot (Q3 FY26 vs Q3 FY25)

- **Revenue:** Rs. 762.93 Cr | YoY +8.3% YoY | (Q3 FY25: Rs. 704.22 Cr) | In-line
- **EBITDA:** Rs. 78 Cr | YoY -4.9% YoY | (Q3 FY25: Rs. 82 Cr) | Miss
- **EBITDA Margin:** 10% | YoY -200 bps YoY | (Q3 FY25: 12%) | Miss
- **Reported PAT:** Rs. 97.65 Cr | YoY +226% YoY | (Q3 FY25: Rs. 29.95 Cr) | Headline Beat
- **Clean PAT:** Rs. 38.66 Cr | YoY +4.5% YoY | (Excl. Rs. 59 Cr tax write-back) | Miss
- **EPS (post-IPO):** Rs. 8.81 | YoY +N/A YoY | (Pre-IPO share base in FY25) | N/A
- NOTE: Reported PAT includes one-time deferred tax write-back of Rs. 58.99 Cr due to new tax regime adoption (effective FY27). Clean underlying PAT = Rs. 38.66 Cr.

C-2. Segment / Geography Breakdown

- **DG Set segment (9M FY26):** Rs. ~1,808 Cr | 81.8% of revenue | Data centres contributing 12-13% of DG revenue, trending to 15%+ | Trend: Improving
- **Wind Power segment (9M FY26):** Rs. ~402 Cr | 18.2% of revenue | IPP generation + EPC + O&M; | Trend: Stable; new capacity pending commissioning
- **Geography:** Primarily India-domestic. Wind assets in Gujarat (primary), Tamil Nadu, Maharashtra. DG sales pan-India with 55,000+ customer base.

C-3. Management Commentary Themes

- **Data centre demand surge:** "Our data center order book is really going off through the roof and is very substantial" — Our read: CMD Bharat Oberoi; data-centre now 12-13% of DG rev, targeting 15%+. Tag: [GUIDANCE]. Tone: Transparent.
- **Zero-debt post-IPO:** "Post this, we will be a zero-debt company" — Our read: Rs. 525 Cr debt repaid in Q1 FY27; Rs. 450 Cr cash held. Tag: [EST]. Tone: Transparent.
- **Wind power scale target:** "Wind will grow from about 54 GW today to nearly 110 GW" — Pradeep Gupta — Our read: Company targeting 1,000 MW own capacity by 2030; JV with Vestas for 750 MW. Tag: [GUIDANCE]. Tone: Bullish/Ambitious.
- **AI-enabled CRM upgrade:** "We are upgrading CRM with AI to improve execution and response times" — Our read: Indicates investment in service infrastructure for 55,000+ customer base. Tag: [EST]. Tone: Transparent.
- **DG market drivers:** "All manufacturing is doing well, but data centers are clearly the fastest-growing segment" — Our read: Validates DG demand beyond pure backup — prime power use in data centres. Tag: [EST]. Tone: Transparent.

C-4. Operating & Business Metrics

- **Installed wind capacity:** 279.55 MW (FY25) / 330.85 MW (as of Mar 2026) | Trend: Ramping
- **Wind CWIP:** Rs. 429 Cr (Sep 2025) / 104 MW under construction | Trend: Active build
- **Customer base (DG):** 55,000+ installed customers | Trend: Stable/growing
- **Data centre % of DG rev:** ~12-13% in 9M FY26 | Trend: Improving
- **BoP order book:** 585 MW for customers; includes 175 MW Torrent + 410 MW Beed | Trend: Strong
- **9M FY26 Revenue:** Rs. 2,210.37 Cr | Trend: Tracking to Rs. 2,950+ FY26E
- **9M FY26 PAT:** Rs. 224.76 Cr (incl. Rs. 59 Cr one-off) | Trend: Clean = Rs. 165.77 Cr

C-5. Margin Drivers

- **EBITDA margin compression Q3 FY26:** -200 bps QoQ and YoY to 10% | Recurring: No | Seasonal + mix (higher EPC pass-through in wind)
- **Interest cost saving FY27+:** Rs. 30-35 Cr annual savings post debt repayment | Recurring: Yes | Recurring from Q1 FY27 onwards
- **Wind IPP annuity margin:** IPP generation at ~60-70% EBITDA margin vs DG at 13% | Recurring: Yes | Improving as wind capacity grows
- **Data-centre AMC premium:** Higher-margin AMC contracts for mission-critical applications | Recurring: Yes | Growing as DC share rises to 15%+
- **Tax rate normalisation:** Effective rate normalising to ~25% from FY27 (new regime) | Recurring: No | One-time tailwind in Q3 FY26 (Rs. 59 Cr write-back) not recurring

C-6. Guidance & Forward Signals

- **Data centre share of DG revenue** [GUIDANCE]: Prior = 12-13% | New/Reiterated = ~15%+ in 12 months | Delta = Raised/Progressive | Credibility: High
- **Wind IPP capacity** [GUIDANCE]: Prior = 279 MW (FY25) | New/Reiterated = 383 MW (104 MW commissioning) | Delta = Raised | Credibility: Medium
- **Wind capacity 2030 target** [GUIDANCE]: Prior = 280 MW (FY25) | New/Reiterated = 1,000 MW | Delta = Maintained | Credibility: Low
- **Debt position post-IPO** [GUIDANCE]: Prior = Rs. 312 Cr (FY25) | New/Reiterated = Near-zero (Rs. 525 Cr repaid) | Delta = Achieved | Credibility: High

• **Formal FY26/FY27 revenue guidance** [GUIDANCE]: Prior = N/A | New/Reiterated = No formal guidance issued | Delta = N/A | Credibility: N/A

C-7. Capital Allocation

• **Capex (FY25 Investing CF):** Rs. 346 Cr outflow | vs FY24: Rs. 14 Cr | Heavy CWIP build

• **Wind CWIP (Sep 2025):** Rs. 429 Cr | 104 MW Gujarat project + future pipeline

• **IPO fresh proceeds:** Rs. 700 Cr raised | Rs. 525 Cr debt repayment + Rs. 175 Cr general

• **Cash & Investments (Apr 17, 2026):** Rs. ~450 Cr | Significant liquidity buffer

• **Dividends:** Rs. 0 (0% payout FY21-FY25) | No dividend declared; may start FY27+

• **Net Debt direction:** Rs. 586 Cr (Sep 25) → Near-zero (FY27E) | Transformational improvement

C-8. Q&A; Heat Map

• **Note:** No concall transcript available (company listed April 2026; only PPT shared). The following is based on IPO-period media interactions and Apr 2026 investor presentation.

• **Media / IPO analysts:** Q: "Q4 FY26 outlook" → A: Management indicated strong DG and wind momentum; formal guidance not given. Tone: Positive/Hedged

• **Media:** Q: "Debt repayment timeline" → A: "Rs. 525 Cr repaid in Q1 FY27; zero-debt target achieved." Tone: Transparent

• **Media:** Q: "Data-centre order book size" → A: "Very substantial but no specific number shared." Tone: Evasive on quantity, bullish on direction

• **Media:** Q: "Wind commissioning timeline" → A: "More capacity secured; rest completed in next two years." Tone: Hedged on exact dates

• **Dodged / watch-list questions for next quarter:** (1) Exact CWIP commissioning date (2) Data-centre order book quantum (3) FY27 revenue and margin guidance

C-9. Risks Flagged

• **CWIP commissioning delay:** Grid connectivity / approvals for 104 MW Gujarat wind | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term

• **Tax rate normalisation impact:** One-time Rs. 59 Cr write-back lowers FY27 base | Flagged by: analyst | Probability: H | Impact: M | Timeline: Q1 FY27

• **Single OEM dependency (Cummins):** Product/pricing risk from OEM strategy changes | Flagged by: analyst | Probability: L | Impact: H | Timeline: long-term

• **DG margin pressure:** EPC revenue mix shift lowering blended margin | Flagged by: analyst | Probability: M | Impact: M | Timeline: medium-term

• **Post-IPO lock-in expiry (Oct 2026):** Promoter/pre-IPO investor selling pressure | Flagged by: analyst | Probability: M | Impact: L | Timeline: near-term

C-10. Analyst Verdict

• **Revenue visibility:** Intact — 9M FY26 Rs. 2,210 Cr; data-centre + wind BoP pipeline strong for FY27

• **Margin trajectory:** Weakened — Q3 FY26 OPM at 10% (compressed) though FY27 should benefit from zero-debt + wind scale

• **Capital allocation quality:** Intact — IPO proceeds deployed precisely as committed; zero-debt achieved; CWIP on track

• **Competitive moat:** Intact — 40+ year Cummins partnership + 55,000 customer AMC base are durable

• **Management credibility:** Intact — Post-IPO debt repayment delivered as promised; tone is clear and commitment-focused

• **Valuation comfort:** Intact — At 31.1x TTM (clean basis), trading at 17% discount to peer median of ~38x

• **Conviction call:** Unchanged

• **Valuation snapshot:** TTM P/E = 31.1x | EV/EBITDA = ~20x (est) | ROCE = 21.6% (FY25) | ROE = 15.7% (FY25)